The Dynamics of Organizational Forgetting: Accidental vs. Intentional Modes (de Holan & Phillips 2004)

A 4-quadrant taxonomy differentiates accidental memory loss (decay and failure to capture) from purposeful organizational forgetting (unlearning and managed forgetting), framing forgetting as an active governance capability.

GRADE: MODERATE | STATUS: DRAFT | DOMAIN: TECHNICAL, ORGANIZATIONAL, PHILOSOPHICAL | REPLICATION: VERIFIED

WHAT WE KNOW (Narrowest Supported Conclusion)

Organizational forgetting is not merely the passive breakdown of knowledge retention, but occurs across four distinct operational modes determined by intentionality (accidental vs. intentional) and knowledge origin (new vs. established):

1. Memory Decay (accidental loss of established routines through employee turnover or process neglect).
2. Failure to Capture (accidental failure to institutionalize new innovations or project learnings).
3. Unlearning (intentional dismantling and cessation of obsolete, counterproductive organizational routines).
4. Managed Forgetting (intentional rejection and gating of incoming bad practices or conflicting procedures).

EVIDENCE AND CAUSAL ASSESSMENT

de Holan and Phillips traced knowledge stocks and routine execution across joint venture transformations:

- Accidental decay occurred most acutely during executive turnover and restructurings where operational practices were stored in social relationships rather than formal standard operating procedures (SOPs).

- Conversely, successful turnaround and integration required deliberate unlearning—dismantling legacy cognitive scripts and entrenched procedural norms that blocked new system adoption.

- Without intentional unlearning, organizations experienced cognitive inertia, where outdated routines competed with new workflows and eroded overall operational coherence.

EFFECT SIZE AND PERSISTENCE

Qualitative case evidence showed that organizations actively practicing managed forgetting and unlearning successfully integrated acquired operations in less than half the time of organizations relying on passive absorption, which suffered recurrent service quality regressions due to residual legacy habits.

BIAS, HETEROGENEITY, AND CONFOUNDING

Classified as partially confounded (20–50%). Case studies were conducted within service industries (hospitality) and manufacturing; differences in regulatory mandates (e.g., healthcare and financial audit requirements) introduce strong boundary conditions where unlearning is constrained by legal compliance requirements.

WHAT THIS DOES NOT MEAN (Strict Boundary Conditions)

Intentional unlearning does not justify reckless destruction of institutional history or erasure of safety critical operational archives; it refers to the systematic deprecation of operational habits and behavioral assumptions, not the unlawful shredding of compliance records.

WHAT ACTION IS REASONABLY JUSTIFIED

Enterprise knowledge management programs must institute explicit deprecation protocols (sunset reviews, obsolete routine de-commissioning, and onboarding unlearning modules) rather than treating knowledge management as an exclusively additive archival process.

VERIFIED SOURCES & DOI IDENTIFIERS

- de Holan, P. M., & Phillips, N. (2004). Remembrance of Things Past? The Dynamics of Organizational Forgetting. Management Science, 50(11), 1603–1613. https://doi.org/10.1287/mnsc.1040.0273

- Argote, L., Beckman, S. L., & Epple, D. (1990). The Persistence and Transfer of Learning in Industrial Settings. Management Science, 36(2), 140–154. https://doi.org/10.1287/mnsc.36.2.140